

# Subscription Churn Analysis

## Key Findings & Business Insights

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### Executive Summary

An analysis of 3,069 subscription customers reveals a critically high churn rate of 65.30%, meaning nearly two out of every three customers have cancelled their subscription. Only 34.70% remain active. While payment compliance is strong at 95.67%, the business faces a significant retention problem — particularly among newer customers who are churning faster and earlier than older cohorts. Immediate action is needed to improve early-stage customer retention.

### At a Glance

| Metric               | Value    | Implication                       |
|----------------------|----------|-----------------------------------|
| Total Customers      | 3,069    | Full dataset                      |
| Active Customers     | 34.70%   | ~1,065 still subscribed           |
| Churned Customers    | 65.30%   | ~2,004 have cancelled             |
| Revenue Collected    | \$114.5K | From paying subscribers only      |
| Paid Subscriptions   | 95.67%   | Payment not the main churn driver |
| Unpaid Subscriptions | 4.33%    | Minor but worth monitoring        |

### Finding 1 — Churn Rate is Critically High

With 65.30% of customers having churned, the business is losing more customers than it retains. This is well above a healthy SaaS churn benchmark of 5–7% annually, suggesting a fundamental issue with product value, customer onboarding, or pricing.

■ Recommendation: Investigate exit reasons through customer surveys or cancellation feedback forms. Identify if churn is driven by pricing, product dissatisfaction, or lack of engagement.

### Finding 2 — August 2023 Was the Peak Churn Month

The highest single month of cancellations was August 2023 with 203 churned customers. This spike is significant and warrants investigation — it may indicate a specific event such as a price increase, a product change, a competitor launch, or a seasonal pattern.

■ Recommendation: Cross-reference August 2023 with any business or product changes made around that period. If a pattern repeats annually, proactive retention campaigns should be launched ahead of that period.

### Finding 3 — 2023 Cohort Churns Fastest in Month 1

The cohort retention matrix reveals that customers who joined in 2023 show the highest first-month churn, with 446 customers cancelling within their very first month. This is the single largest churn event across all cohorts and time periods, suggesting that newer customers are not finding immediate value in the product.

In contrast, the 2022 cohort's first-month churn was 113 — significantly lower, indicating that retention was healthier among earlier subscribers.

■ Recommendation: Focus on improving the onboarding experience for new customers. The first 30 days are critical — consider welcome emails, onboarding tutorials, or a dedicated customer success touchpoint in the first month.

### Finding 4 — Payment is Not the Problem

95.67% of subscriptions were paid, meaning only 4.33% of customers did not pay. This tells us that churn is not being driven by payment failures or billing issues — customers are willing to pay, but they are still choosing to cancel. This shifts the focus from billing to product value and customer satisfaction.

■ Recommendation: Since customers are paying before churning, the issue is likely perceived value. Consider customer satisfaction surveys (NPS scores) and feature usage analysis to identify what is not resonating.

### Summary of Recommendations

| # | Finding                             | Recommended Action                         | Priority |
|---|-------------------------------------|--------------------------------------------|----------|
| 1 | High overall churn (65.30%)         | Customer exit surveys                      | High     |
| 2 | August 2023 churn spike (203)       | Investigate business events in that period | High     |
| 3 | 2023 cohort Month 1 churn (446)     | Improve onboarding experience              | Critical |
| 4 | Payment not the issue (95.67% paid) | Focus on product value & NPS               | Medium   |